UPSC EPFO · APFC RECRUITMENT TEST · FOUNDATION LAYER · MODULE 6 · CHAPTER F6.2

Concepts, Conventions, Standards — and Capital versus Revenue

Chapter F6.2 — Why Accounting Has Rules, Who Writes Them in India, and the One Distinction That Decides Whether Profit Is Right

Module	**Foundation Layer — Module 6 — Accounting, Auditing & Statistics**
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NOTE · HOW TO USE THIS DOCUMENT

This chapter follows **F6.1** and closes the two threads it deliberately left open.

F6.1 §6.2 told you that an **error of principle** is a capital item treated as revenue, without ever defining capital and revenue properly. Section 5 here does that, and it is the highest-yield section in the chapter. F6.1 Q15 named AS-1's **three fundamental accounting assumptions** in an answer without explaining them. Section 4 here does that.

If you have not done F6.1, do it first — Section 5 assumes you know what an error of principle is, and Section 2 assumes you know the accounting equation.

HIGH YIELD · WHERE THIS CHAPTER SITS

Blueprint §7.1 names **"accounting standards and assumptions"** and **"capital versus revenue"** in the top high-yield list for this examination (ANALYTICAL ESTIMATE). Both are in this chapter.

This is also the chapter that makes the rest of Module 6 shorter. Depreciation (F6.4), inventory valuation (F6.4), provisions and reserves (F6.3) and revenue recognition are all *applications* of four or five ideas defined here. Learn the ideas once and those chapters become recall rather than new learning.

Table of Contents

0. How This Chapter Works

Overall chapter priority: ★★★★★ for Sections 4 and 5, ★★★★☆ for the rest.

STUDY SESSION · CHAPTER F6.2 — THE SIX SESSIONS

1. **Session 1** — Why accounting needs rules at all; GAAP; who writes the rules in India (§1) ★★★★☆
2. **Session 2** — The concepts, part one: entity, money measurement, going concern, cost, dual aspect (§2) ★★★★☆
3. **Session 3** — The concepts, part two: period, realisation, accrual, matching, objectivity (§3) ★★★★★
4. **Session 4** — The conventions, and AS-1's three fundamental assumptions (§4) ★★★★★
5. **Session 5** — Capital versus revenue (§5) ★★★★★ **highest yield in the chapter**
6. **Session 6** — Accounting Standards and Ind AS (§6) ★★★★☆

Then the graded practice in §7 — 40 questions in three levels. Budget two sessions. Eight sessions in total, so roughly **four days** at your two hours a day.

IMPORTANT · THE EVIDENCE POSITION IS UNCHANGED FROM F6.1

I still do not have a question-by-question classification of the 14 accounting questions in the 2023 paper, so I will not invent one. Section priorities here are **Analytical Estimates**, reasoned from the Blueprint's high-yield list and from which ideas the rest of the module depends on.

What *is* PYQ-DERIVED: the block was 0 questions in 2015, **14 in 2023**, 9 in 2025, and auditing was tested in 2023 partly through a *"which one is not correct"* item on audit scope.

1. Session 1 — Why Accounting Needs Rules ★★★★☆

1.1 The problem rules solve

F6.1 §1.3 ended on a claim worth taking seriously: accounting exists to produce **evidence a stranger can trust**. Now push on it. Suppose every business chose its own methods. One values closing stock at cost, another at selling price. One writes machinery off over five years, another over twenty.

Both sets of books could be honest. But no outsider could compare them, and no outsider could rely on either — because the same underlying business could be made to show any profit the owner preferred.

So accounting needs **rules that are common, stable and disclosed**. That body of rules is **GAAP — Generally Accepted Accounting Principles**.

1.2 Three words the exam separates

Beginners use these interchangeably. Examiners do not.

Term	What it is	Examples
Concept	A basic assumption or postulate about *how* accounting views the world	Going concern, dual aspect, accrual
Convention	A practice adopted by custom, to make statements useful and comparable	Consistency, materiality, conservatism
Standard	A written, enforceable rule issued by an authority on a specific matter	AS 2 Inventories, AS 15 Employee Benefits

Concepts are assumed, conventions are customary, standards are prescribed

COMMON UPSC TRAP · THE CONCEPT / CONVENTION BOUNDARY IS NOT CLEAN

Textbooks disagree on which items are concepts and which are conventions. Consistency is called a convention in most Indian texts but is one of AS-1's three **assumptions**. Accrual is called a concept, and is also an AS-1 assumption.

How to handle this in the exam. Do not fight it. Two things are settled and are what actually gets asked:

1. The **three fundamental accounting assumptions under AS-1** are going concern, consistency and accrual. That list is fixed and examinable (§4.3)
2. **Conservatism, materiality, full disclosure and consistency** are the four items always presented as conventions

Everything else is a concept. If an option asks you to classify something outside those two settled lists, look for a different discriminator in the question.

1.3 Who writes the rules in India

This is examinable as plain institutional fact, and it is the kind of Ministry-versus-body distinction the Blueprint §8 trap table warns about.

Body	What it is	Authority
ICAI — Institute of Chartered Accountants of India	The professional body of chartered accountants	**Statutory**, under the Chartered Accountants Act, **1949**
ASB — Accounting Standards Board	A committee **of ICAI** that formulates Accounting Standards	Constituted by ICAI in **1977**. Not statutory in itself
Central Government	**Prescribes** the standards, making them legally binding	**Section 133**, Companies Act, 2013
NFRA — National Financial Reporting Authority	Advises on standards; monitors compliance; oversees audit quality; may investigate	**Section 132**, Companies Act, 2013. Constituted 2018
IASB — International Accounting Standards Board	Issues **IFRS** internationally	Not an Indian body. Successor to the IASC

The chain, which is the part worth holding as a sequence:

ASB (a committee of ICAI) recommends » Central Government prescribes under s.133, in consultation with NFRA » the standard becomes legally binding

MUST MASTER · FOUR DISTINCTIONS IN THAT TABLE

1. **ICAI is statutory; the ASB is not.** ICAI exists under the Chartered Accountants Act, 1949. The ASB is a body ICAI itself created in 1977
2. **The ASB does not make standards binding — the Central Government does**, under **section 133** of the Companies Act, 2013. The ASB *formulates and recommends*
3. **NFRA is section 132; standards are section 133.** Adjacent sections, easily swapped, and a natural trap pair
4. **India follows convergence with IFRS, not adoption.** Ind AS are IFRS-converged standards, not IFRS themselves. Any option saying India has adopted IFRS is wrong (§6.2)

CHECK YOURSELF · SESSION 1

1. What problem do common accounting rules solve? Answer in terms of an outsider
2. What does GAAP stand for?
3. Distinguish a concept, a convention and a standard
4. Which body formulates Accounting Standards, and which one makes them binding? Under what section?
5. Under which section is NFRA constituted, and what does it do?

2. Session 2 — The Concepts, Part One ★★★★☆

Five concepts that decide what accounting even looks at.

2.1 Business entity concept

The business is treated as **separate and distinct from its owner**. Books record the business's transactions, not the owner's.

This is the concept that makes capital a **liability**. The business owes the owner what he put in — which is exactly why F6.1 §2.1 could write `Assets = Liabilities + Capital` with capital on the claims side. And it is why the owner's household electricity bill never enters the books, while his withdrawal of cash appears as **drawings**.

2.2 Money measurement concept

Only transactions **expressible in money** are recorded. Everything else, however important, is invisible to the accounts.

This is the source of the first limitation in F6.1 §1.2. A strike brewing among your workers, a key manager about to resign, a collapsing reputation — none appear. It also carries a hidden assumption: that the **value of money is stable**, which inflation makes false.

2.3 Going concern concept

The business is assumed to continue **for the foreseeable future**, and not to be about to be liquidated.

Almost everything follows from this. Because the firm will continue, a machine bought for ₹10 lakh is not shown at what it would fetch in a distress sale today — it is shown at cost less **depreciation**, spread over the years it will serve. Prepaid expenses can be carried forward as assets. The distinction between fixed and current assets means something.

Remove the assumption and the whole basis changes: a business being wound up reports assets at **net realisable value**.

> **FROM YOUR OWN WORLD · GOING CONCERN IS A STEADY-STATE ASSUMPTION**
>
> You analyse a pump at steady state. You do not size it on the transient of the first two seconds after start-up, because the steady state is the regime it will actually spend its life in.
>
> Going concern is the same move. Accounting reports the business in its continuing regime, not in the transient of an imagined liquidation tomorrow. And exactly as in engineering, the assumption has to be **stated and checked** — if the machine is about to be shut down, steady-state numbers are the wrong numbers. That is why an auditor who doubts going concern must say so: the disclosure is not a formality, it invalidates the basis of every other figure.

2.4 Cost concept (historical cost)

An asset is recorded at the **price actually paid to acquire it**, including all costs of bringing it into use — not at market value, and not at what the owner thinks it is worth.

Its virtue is **objectivity**: a purchase invoice is verifiable, an opinion of value is not. Its vice is **irrelevance over time**: land bought in 1990 sits at its 1990 price. Both halves are examinable, and the vice is the second limitation from F6.1 §1.2.

2.5 Dual aspect concept

Every transaction has **two aspects**, equal and opposite. This is the concept that produces the accounting equation and therefore double entry itself — F6.1 §4.1 in one line.

MEMORY TECHNIQUE · WHICH CONCEPT PRODUCED WHICH RULE

Do not memorise the five as a list. Attach each to the thing it causes, because that is how they get tested:

Concept	The rule it produces
Business entity	Capital is a liability; drawings exist
Money measurement	Only monetary items are recorded
Going concern	**Depreciation**; assets not at realisable value
Cost	Assets at purchase price, not market value
Dual aspect	**Double entry**; A = L + C

If a question gives you the consequence and asks for the concept, this table is the answer key.

CHECK YOURSELF · SESSION 2

1. Which concept makes capital a liability, and why?
2. Which concept is the reason depreciation exists?
3. State one virtue and one vice of the historical cost concept
4. Which concept is double entry a direct consequence of?
5. On what basis are assets reported if the going concern assumption fails?

3. Session 3 — The Concepts, Part Two ★★★★★

Four concepts about **timing** — when a transaction belongs to. This is where the real exam value is, because timing decides profit.

3.1 Accounting period concept

The life of a business is continuous, but users cannot wait for it to end. So the life is cut into fixed intervals — an **accounting period**, in India normally **1 April to 31 March**.

Cutting time creates every timing problem that follows. A year-end falls in the middle of unfinished business: rent paid for a period straddling the cut, salary earned but unpaid, goods delivered but unbilled. The next three concepts exist to decide which side of the line each belongs to.

3.2 Realisation concept

Revenue is recognised when it is **realised — that is, earned** — and not when cash is received.

For a sale of goods, revenue is realised when **ownership passes to the buyer**, not when the order is placed and not when payment arrives. So goods sold on credit on 28 March are revenue of that year even if the customer pays in June. An order merely received on 28 March is **not** revenue at all.

3.3 Accrual concept

Income and expenses are recorded **in the period to which they relate**, regardless of when cash moves. The alternative is **cash basis**, where only actual receipts and payments count.

	Accrual basis	Cash basis
Recognition	When income is earned / expense incurred	When cash is received / paid
Outstanding and prepaid items	Recorded	Ignored entirely
Profit shown	True profit for the period	Merely the cash surplus
Companies Act 2013	**Mandatory** for companies	Not permitted

MUST MASTER · ACCRUAL IS MANDATORY FOR COMPANIES

Companies must keep books on the **accrual basis**. This is not a matter of preference, and an option suggesting a company may choose the cash basis is wrong.

Note the direction of the trap: cash basis is *simpler*, so it sounds like the permissible default. It is not.

3.4 Matching concept

Expenses of a period must be **matched against the revenues of that same period**. It is the accrual concept applied to the pairing of costs with the income they generated.

This is what makes closing stock, outstanding expenses, prepaid expenses and depreciation necessary. If you sold goods this year, the cost of *those* goods belongs this year — so unsold goods must be carried out of this year's cost as closing stock. Every year-end adjustment you will meet in F6.3 is the matching concept doing its work.

3.5 Objectivity concept

Entries must rest on **verifiable documentary evidence** — the voucher from F6.1 §3. Accounting records opinions only where a standard forces an estimate, and then requires the basis to be disclosed.

FROM YOUR OWN WORLD · THE IRAC NORMS ARE ACCRUAL BEING OVERRIDDEN BY PRUDENCE

Here is the sharpest illustration of these ideas available to you, and it is from your own desk.

Under RBI's **Income Recognition and Asset Classification** norms, interest on a **non-performing asset** is *not* taken to income on an accrual basis, even though it is contractually due. It is recognised only when actually **received**.

Look at what that is. Pure accrual would book the interest as income because it has been earned. Prudence (§4.4) refuses, because collection is doubtful and accounting must not anticipate profit. So the regulator overrides accrual with prudence for precisely the class of assets where accrual would flatter the accounts.

Two lessons worth carrying. First, **prudence outranks accrual when collection is doubtful** — which is the reasoning behind provisions generally. Second, when a question sets accrual against prudence, prudence usually wins. That is not a coincidence of banking regulation; it is the hierarchy.

CHECK YOURSELF · SESSION 3

1. What is the normal accounting period in India, and why does cutting time create problems?
2. When is revenue realised on a credit sale? Is a received order revenue?
3. Give four differences between the accrual and cash bases. Which is mandatory for companies?
4. Which concept makes closing stock and outstanding expenses necessary?
5. Give a real case where prudence overrides accrual, and explain why

4. Session 4 — The Conventions, and AS-1 ★★★★★

Four conventions, then the three assumptions that sit on top of them.

4.1 Consistency

The **same accounting methods must be followed from year to year**, so that results are comparable across periods. A firm that depreciates on the straight-line basis this year cannot switch to written down value next year merely to improve the look of its profit.

Consistency does **not** mean methods can never change. It means a change must be justified, and the change and its effect must be **disclosed**.

4.2 Full disclosure

All **material** information must be disclosed, so that users are not misled. It is not enough to be arithmetically correct — anything that would change a reader's judgement must be stated. This is why financial statements carry notes and a statement of accounting policies at all, which is precisely what **AS-1** requires.

4.3 Materiality

An item is **material** if its omission or misstatement would influence a user's decision. Insignificant items may be aggregated or ignored, because excessive detail obscures rather than informs.

Materiality is **relative, not absolute**. ₹50,000 may be material to a small firm and immaterial to one with a ₹5,000 crore balance sheet.

> **FROM YOUR OWN WORLD · MATERIALITY IS SIGNIFICANT FIGURES**
>
> You would not specify a shaft diameter as 25.400000 mm. Past a certain precision the extra digits are not information, they are noise — and reporting them would falsely imply a measurement accuracy you do not have.
>
> Materiality is that judgement applied to money. The number of digits worth reporting depends on the scale of the thing being measured, and reporting beyond it makes the statement *less* useful, not more. Note the consequence, which the exam likes: materiality is the convention that **permits** you to leave something out. Full disclosure and materiality are not in conflict — materiality defines what disclosure has to reach.

4.4 Conservatism, or prudence

Anticipate no profit, but provide for all possible losses. Where two values are defensible, choose the one that does not overstate profit or assets.

Standard applications, each a likely question:

- **Closing stock** is valued at **cost or net realisable value, whichever is lower**
- A **provision for doubtful debts** is created for debts that may not be recovered
- **Contingent liabilities** are disclosed; contingent gains are not recognised
- Unrealised gains are not taken to profit; unrealised losses are provided for

FROM YOUR OWN WORLD · PRUDENCE IS A FACTOR OF SAFETY

You do not design a beam for the load you expect. You design it for the worst credible load, with a factor of safety on top, because the cost of being wrong is asymmetric — an over-designed beam wastes material, an under-designed one fails.

Prudence is the accounting factor of safety, and it exists for the same asymmetric reason. Overstating profit misleads people who then lend money, buy shares, or extend credit. Understating it disappoints them. The consequences are not symmetric, so the rule is not symmetric either.

Which also tells you why prudence beat accrual in the IRAC example in §3.5.

COMMON UPSC TRAP · PRUDENCE HAS A LIMIT

Conservatism does **not** license deliberate understatement. Creating excessive provisions to depress profit produces **secret reserves** and is itself a distortion — it misleads in the other direction, and it conflicts with full disclosure.

So the correct statement of the convention is *do not overstate*, **not** *understate as much as possible*. Options that push conservatism to that extreme are wrong.

4.5 AS-1 and the three fundamental accounting assumptions

AS-1, Disclosure of Accounting Policies, is where F6.1 Q15 came from.

MUST MASTER · THE THREE FUNDAMENTAL ACCOUNTING ASSUMPTIONS

Under AS-1 there are exactly **three**:

1. **Going concern**
2. **Consistency**
3. **Accrual**

Two rules about them that get asked as much as the list itself:

- They are **assumed to have been followed** without being stated. No positive disclosure is needed

when they are followed

- If any assumption is **not** followed, that fact **must be disclosed**

So the disclosure obligation is **asymmetric** — silence means compliance. An option claiming these assumptions must be positively disclosed in every set of accounts is wrong.

MEMORY TECHNIQUE · "GO-CON-AC" AND THE THREE FROM FOUR

The three assumptions: **GO**ing concern · **CON**sistency · **AC**crual.

Notice the useful asymmetry with the conventions. Of the four conventions — consistency, disclosure, materiality, conservatism — only **consistency** is also an AS-1 assumption. So:

- Given the four conventions, the one that is also an assumption is **consistency**
- Given the three assumptions, the one that is also a convention is **consistency**

Conservatism, materiality and full disclosure are conventions **only**. Going concern and accrual are assumptions and concepts, **not** conventions. That single overlap is the whole of the confusion, and knowing where it sits answers the classification questions.

CHECK YOURSELF · SESSION 4

1. Does consistency forbid changing methods? What does it require instead?
2. Is materiality absolute or relative? Give an example
3. State the conservatism convention in its standard wording, and give three applications
4. What is the limit on conservatism, and what does exceeding it create?
5. Name AS-1's three fundamental assumptions. When must they be disclosed?
6. Which single item is both a convention and an AS-1 assumption?

5. Session 5 — Capital versus Revenue ★★★★★

The highest-yield section in the chapter. It closes the thread from F6.1 §6.2, it is named explicitly in the Blueprint's high-yield list, and it is the distinction most likely to appear as a numerical or multi-statement question.

5.1 The distinction, and why it decides profit

Some spending buys benefit that **lasts beyond this year**. Some is **consumed within the year**. Put each in the wrong place and both the profit and the balance sheet are wrong.

	Capital expenditure	Revenue expenditure
Benefit lasts	Beyond one accounting period	Within the period
Frequency	Non-recurring	Recurring
Purpose	**Acquires or improves** an asset; increases earning capacity	**Maintains** earning capacity
Shown in	**Balance Sheet**, as an asset	**Trading or Profit & Loss account**
Examples	Machinery, land, building, extension	Salaries, rent, fuel, ordinary repairs

The whole distinction is duration of benefit and purpose

Five tests to apply when a question gives you an unfamiliar item:

1. **Nature** — a fixed asset, or goods and services consumed?
2. **Duration** — benefit beyond this year?
3. **Purpose** — to acquire or improve, or to maintain?
4. **Frequency** — one-off, or recurring?
5. **Effect** — does it increase earning capacity, or merely preserve it?

5.2 The receipts side

The same split applies to money coming in, and is asked less often but is easier to get wrong.

	Capital receipt	Revenue receipt
Source	Not from normal trading	From normal operations
Effect	Creates a liability or reduces an asset	Neither
Shown in	Balance Sheet	Profit & Loss account
Examples	Capital introduced, loan raised, **sale proceeds of a fixed asset**, share premium	Sale of goods, interest received, commission, rent received

5.3 Deferred revenue expenditure — the third category

Some spending is **revenue in nature** but its benefit spreads over **several years**. It is written off over those years, and the unwritten portion is carried on the **asset side** meanwhile.

Standard examples: a **heavy advertising campaign** to launch a product; **preliminary expenses** of forming a company; **discount on the issue of debentures**.

> **BEGINNER MISTAKE · DEFERRED REVENUE IS NOT CAPITAL**
>
> It creates **no asset you could sell**. An advertising campaign leaves nothing behind that could be disposed of — which is exactly why it is *revenue* in nature. It is merely *deferred*, because writing the whole cost off in one year would distort that year's profit and violate matching (§3.4).
>
> Three-way test if an option offers all of them: does the spending leave a **saleable asset** (capital) » is the benefit **consumed this year** (revenue) » or is there **no asset but multi-year benefit** (deferred revenue)?

5.4 The items that are actually asked

This table is the section's working core. Nearly every capital-versus-revenue question is one of these or a close variant.

Item	Treatment	Why
Purchase of machinery	**Capital**	Acquires a fixed asset
Wages paid to install machinery	**Capital**	Cost of bringing the asset into use
Carriage or freight on **machinery**	**Capital**	Same reason
Carriage or freight on **goods**	**Revenue**	Goods are for resale, consumed this period
Repairs to second-hand machinery to make it usable	**Capital**	Necessary to bring it into working condition
Ordinary repairs to machinery in use	**Revenue**	Maintains, does not improve
Annual whitewashing and painting	**Revenue**	Recurring maintenance
Replacing a worn part with a **similar** part	**Revenue**	Restores original capacity
Replacing a part with a **superior** one that raises output	**Capital**	Increases earning capacity
Extension to a building	**Capital**	Improvement, lasting benefit
Legal fees on **purchase** of property	**Capital**	Part of acquisition cost
Legal fees to **defend title** to property	**Capital**	Protects the asset itself
Legal fees for recovery of a trade debt	**Revenue**	Ordinary operating cost
Interest on a loan for a fixed asset, **before it is put to use**	**Capital**	Capitalised — see AS 16, §6.3
Interest on the same loan after it is in use	**Revenue**	Ordinary finance cost
Heavy launch advertising	**Deferred revenue**	Revenue in nature, multi-year benefit
Preliminary expenses	**Deferred revenue**	Written off over years
Depreciation	**Revenue**	The year's share of an asset's cost
Sale proceeds of old machinery	**Capital receipt**	Reduces an asset

MUST MASTER · THE PATTERN BEHIND THE PAIRS

Notice the table is built from **pairs that differ by one word**, which is exactly how the examiner will use it:

- Carriage on **machinery** (capital) versus carriage on **goods** (revenue)
- Repairs to make a second-hand machine **usable** (capital) versus repairs to a machine **in use**

(revenue)

- A **similar** replacement part (revenue) versus a **superior** one (capital)
- Interest **before** the asset is put to use (capital) versus **after** (revenue)
- Legal fees on **purchase** or to **defend title** (capital) versus to **recover a debt** (revenue)

The discriminating word is never decorative. Underline it before you answer — the same habit Blueprint §8 recommends for the last six words of a stem.

5.5 What goes wrong when you misclassify — the F6.1 thread closed

An **error of principle** (F6.1 §6.2) is precisely a capital item recorded as revenue or the reverse. Now you can state its effect, which is the examinable part.

The error	Profit	Assets	Trial balance
Capital expenditure treated as **revenue**	**Understated**	**Understated**	**Agrees** — undisclosed
Revenue expenditure treated as **capital**	**Overstated**	**Overstated**	**Agrees** — undisclosed

Both directions leave the trial balance in perfect agreement

Work through the first row once so it is reasoning rather than memory. Machinery of ₹2,00,000 is debited to Purchases. Purchases is an expense, so this year's expenses are ₹2,00,000 too high and profit is ₹2,00,000 too low. And no machinery asset was ever recorded, so assets are ₹2,00,000 too low. Yet the entry was **balanced** — a debit and a credit of equal amount — so total debits still equal total credits and the trial balance agrees.

THINK LIKE UPSC · WHY THIS IS THE EXAMINER'S FAVOURITE JUNCTION

This single table lets one question test three things at once: the capital/revenue distinction, the error classification from F6.1, and what a trial balance can detect. That is why it recurs.

Expect these shapes:

- **Direction reversal.** "Treating revenue expenditure as capital understates profit." **False** — it

overstates profit. Both halves of the row flip together, so check profit and assets move the same way

- **The trial balance rider.** A multi-statement question where statements 1 and 2 give the effect

correctly and statement 3 claims the trial balance will disclose it. Statement 3 is the false one

- **The word "only".** "Errors of principle affect profit only." False — they affect both profit and

assets, and the balance sheet as well

- **Numerical form.** Profit is ₹8,00,000; ₹50,000 of machinery repairs to make a second-hand machine

usable was charged to the P&L. The correct profit is ₹8,50,000, because that repair was capital

CHECK YOURSELF · SESSION 5

1. Give the five tests for distinguishing capital from revenue expenditure
2. Classify, with a reason: carriage on machinery; carriage on goods; annual painting; an extension
3. What is deferred revenue expenditure? Give two examples and say why it is not capital
4. When is interest on a loan capitalised?
5. Revenue expenditure treated as capital — what happens to profit, assets and the trial balance?
6. Profit is ₹6,00,000. Wages of ₹40,000 paid to install a new machine were charged to the P&L. What is the correct profit?

6. Session 6 — Accounting Standards and Ind AS ★★★★☆

6.1 What a standard is for

A concept tells you accounting assumes going concern. A standard tells you, in writing and enforceably, **how to value inventory** or **how to account for a gratuity liability**. Standards narrow the range of acceptable treatments so that two honest firms in the same position report the same way.

6.2 Indian AS, Ind AS and IFRS

	AS (Accounting Standards)	Ind AS (Indian Accounting Standards)
Basis	Indian GAAP	**Converged with IFRS**
Notified under	Companies (Accounting Standards) Rules	Companies (**Indian Accounting Standards**) Rules, **2015**
Applies to	Companies not covered by Ind AS, and non-corporate entities	Larger companies, in **phases from 1 April 2016**
Numbering	AS 1 to AS 29	Ind AS 101 onward

MUST MASTER · CONVERGENCE IS NOT ADOPTION

India has **converged** with IFRS, not **adopted** it. Ind AS are based on IFRS but carry "carve-outs" — deliberate departures reflecting Indian law and conditions.

So there are two wrong options to recognise instantly: that India has adopted IFRS directly, and that Ind AS and IFRS are identical. Both are false, and the distinction is the single most examinable point about Ind AS.

Broad applicability of Ind AS, phased: companies with a **net worth of ₹500 crore or more** from 2016-17, then listed companies below that threshold and unlisted companies with net worth of **₹250 crore or more** from 2017-18. Banks, insurers and NBFCs were phased separately.

6.3 The standards worth knowing by number

Do not learn all 29. Learn the ones that either recur or connect to something else in your syllabus.

Standard	Subject	Why it matters to you
AS 1	Disclosure of Accounting Policies	The three fundamental assumptions (§4.5)
AS 2	**Valuation of Inventories**	Cost or NRV, whichever is lower — prudence in action. F6.4
AS 3	Cash Flow Statements	F6.5
AS 5	Prior period items, changes in accounting policies	The consistency convention enforced
AS 9	**Revenue Recognition**	The realisation concept (§3.2) enforced
AS 10	Property, Plant and Equipment	Absorbed the withdrawn **AS 6 Depreciation**. F6.4
AS 13	Accounting for Investments	F6.4
AS 15	**Employee Benefits**	**Directly your job — see below**
AS 16	Borrowing Costs	Why pre-use interest is capitalised (§5.4)
AS 26	Intangible Assets	Goodwill and patents. F6.4
AS 29	Provisions, Contingent Liabilities and Contingent Assets	Prudence enforced. F6.3

WHY THIS EXISTS · AS 15 IS THE ONE STANDARD WRITTEN ABOUT YOUR JOB

Of all 29 standards, **AS 15 Employee Benefits** is the one an APFC should be able to discuss without hesitation, because it is how an employer accounts for the very liabilities you will enforce.

Its central distinction is one you should carry into Module 3 as well:

	Defined contribution plan	Defined benefit plan
What the employer promises	To pay a **fixed contribution**	To pay a **defined amount** on exit
Who bears the investment risk	The **employee**	The **employer**
Accounting	Straightforward: the contribution is the expense	Complex: **actuarial valuation** required
Your examples	**Provident fund** contributions	**Gratuity**; a defined pension

Why it matters practically. Under a defined contribution plan the employer's obligation ends when the contribution is paid — which is exactly why non-payment of PF dues is so clean to determine in a Section 7A inquiry: the liability is a computable percentage of wages, not an actuarial estimate. Under a defined benefit plan the employer carries the shortfall risk, which is why gratuity liability must be actuarially valued and appears as a provision.

That single table connects Module 6 to Module 3, and it is the kind of cross-syllabus answer that distinguishes a candidate in an interview.

CHECK YOURSELF · SESSION 6

1. What does a standard add that a concept does not?
2. Ind AS versus IFRS — convergence or adoption? What are carve-outs?
3. Under which rules and from which date were Ind AS applied? What was the first net-worth threshold?
4. Which AS deals with inventories, and what is its valuation rule?
5. Which AS absorbed the withdrawn depreciation standard?
6. Distinguish a defined contribution from a defined benefit plan, with an example of each and who bears the risk

7. Graded Practice — 40 Questions ★★★★★

Write your answers down before checking, and log every error. Level 3 uses the paper's real formats: "not correct", multi-statement with codes, matching, and numerical application.

7.1 Level 1 — Recognition

Q1. GAAP stands for (a) Generally Accepted Accounting Principles (b) General Accounting and Auditing Practice (c) Government Approved Accounting Procedure (d) Globally Applied Accounting Policies

Q2. The concept that treats the business as distinct from its owner is the (a) money measurement concept (b) going concern concept (c) business entity concept (d) cost concept

Q3. Depreciation is a direct consequence of which concept? (a) Dual aspect (b) Going concern (c) Realisation (d) Materiality

Q4. The concept that produces the accounting equation and double entry is (a) matching (b) accrual (c) objectivity (d) dual aspect

Q5. Under the historical cost concept, a fixed asset is recorded at (a) the price actually paid to acquire and install it (b) its current market value (c) its net realisable value (d) the value the owner assigns to it

Q6. Recording only those transactions that can be expressed in money is the (a) objectivity concept (b) money measurement concept (c) matching concept (d) entity concept

Q7. Valuing closing stock at cost or net realisable value, whichever is lower, illustrates (a) consistency (b) materiality (c) full disclosure (d) conservatism

Q8. The convention that permits insignificant items to be ignored is (a) conservatism (b) consistency (c) materiality (d) full disclosure

Q9. The Accounting Standards Board was constituted by the ICAI in (a) 1977 (b) 1949 (c) 1956 (d) 2013

Q10. Accounting Standards are prescribed by the Central Government under which section of the Companies Act, 2013? (a) Section 132 (b) Section 133 (c) Section 129 (d) Section 143

Q11. The National Financial Reporting Authority is constituted under (a) Section 133 of the Companies Act, 2013 (b) the Chartered Accountants Act, 1949 (c) Section 132 of the Companies Act, 2013 (d) the Companies (Ind AS) Rules, 2015

Q12. Ind AS are (a) identical to IFRS (b) unrelated to IFRS (c) issued directly by the IASB (d) converged with IFRS

Q13. AS 2 deals with (a) Valuation of Inventories (b) Revenue Recognition (c) Cash Flow Statements (d) Employee Benefits

Q14. AS 15 deals with (a) Borrowing Costs (b) Employee Benefits (c) Intangible Assets (d) Accounting for Investments

Q15. Capital expenditure is shown in the (a) Trading account (b) Profit and Loss account (c) Balance Sheet (d) Cash Flow Statement only

7.2 Level 2 — Understanding

Q16. Revenue on a credit sale is recognised when (a) the order is received (b) the invoice is prepared (c) cash is received (d) ownership of the goods passes to the buyer

Q17. Under the accrual basis, an expense incurred but not yet paid is (a) ignored until paid (b) recorded in the period to which it relates (c) recorded only if material (d) recorded as a capital item

Q18. For companies, the accrual basis of accounting is (a) mandatory (b) optional (c) permitted only for listed companies (d) prohibited

Q19. The concept that makes closing stock and outstanding expenses necessary at the year end is (a) money measurement (b) objectivity (c) matching (d) entity

Q20. The convention of consistency requires that (a) methods can never be changed (b) all firms use identical methods (c) methods change every year to reflect conditions (d) methods be followed uniformly, and any change be disclosed with its effect

Q21. Which one of the following is a convention but **not** one of AS-1's fundamental assumptions? (a) Consistency (b) Conservatism (c) Accrual (d) Going concern

Q22. Under AS-1, the three fundamental accounting assumptions (a) are assumed to be followed, and disclosure is required only if one is not followed (b) must be positively disclosed in every set of accounts (c) need never be disclosed in any circumstances (d) are disclosed only by listed companies

Q23. Wages paid for the installation of a newly purchased machine are (a) revenue expenditure (b) deferred revenue expenditure (c) a capital receipt (d) capital expenditure

Q24. Carriage paid on the purchase of goods meant for resale is (a) capital expenditure (b) deferred revenue expenditure (c) revenue expenditure (d) a capital receipt

Q25. Repairs carried out on a second-hand machine to bring it into working condition are (a) revenue expenditure (b) capital expenditure (c) deferred revenue expenditure (d) not recorded

Q26. Heavy advertising expenditure to launch a new product is best treated as (a) deferred revenue expenditure (b) capital expenditure (c) revenue expenditure written off at once (d) a capital receipt

Q27. Sale proceeds of old machinery constitute (a) a revenue receipt (b) revenue expenditure (c) deferred revenue expenditure (d) a capital receipt

Q28. Interest on a loan taken to purchase a machine, for the period **before** the machine is put to use, is (a) always revenue expenditure (b) never recorded (c) capitalised as part of the asset's cost (d) a capital receipt

Q29. Treating capital expenditure as revenue expenditure will (a) understate both profit and assets (b) overstate both profit and assets (c) understate profit and overstate assets (d) leave profit unaffected

Q30. In the bank's books, interest on a non-performing asset is recognised only when received. This is best described as (a) an application of the matching concept (b) prudence overriding accrual (c) an error of principle (d) an application of the money measurement concept

7.3 Level 3 — Recruitment Test standard

Q31. Which one of the following statements is **not** correct? (a) The going concern concept justifies charging depreciation rather than showing assets at realisable value (b) The historical cost concept gives objectivity but loses relevance over time (c) The convention of conservatism requires profit to be understated as far as possible (d) Materiality is relative to the size of the entity

Q32. Consider the following statements:

1. The Accounting Standards Board formulates Accounting Standards.
2. The Accounting Standards Board makes Accounting Standards legally binding.
3. NFRA advises the Central Government on accounting and auditing standards.

Which of the above statements are correct? (a) 1 and 2 only (b) 2 and 3 only (c) 1, 2 and 3 (d) 1 and 3 only

Q33. Match List-I with List-II and select the correct answer using the code given below:

List-I (Concept or convention)	List-II (Consequence)
A. Going concern	1. Capital appears as a liability of the business
B. Business entity	2. Closing stock at the lower of cost and net realisable value
C. Conservatism	3. Depreciation is charged over the asset's useful life
D. Matching	4. Outstanding expenses are provided for at the year end

(a) A-3 B-1 C-2 D-4 (b) A-1 B-3 C-4 D-2 (c) A-3 B-2 C-1 D-4 (d) A-4 B-1 C-2 D-3

Q34. Consider the following statements about deferred revenue expenditure:

1. It is revenue in nature but its benefit extends over more than one accounting period.
2. The unwritten-off portion is shown on the asset side of the balance sheet.
3. It creates a saleable asset, which is why it is treated as capital expenditure.

Which of the above statements are correct? (a) 1 only (b) 1 and 2 only (c) 2 and 3 only (d) 1, 2 and 3

Q35. Which one of the following pairs is **not** correctly matched? (a) Carriage on machinery — capital expenditure (b) Legal fees to defend title to property — capital expenditure (c) Replacing a worn-out part with a similar part — capital expenditure (d) Annual whitewashing of the factory — revenue expenditure

Q36. Consider the following statements:

1. Treating revenue expenditure as capital expenditure overstates profit.
2. Treating revenue expenditure as capital expenditure overstates assets.
3. Such an error will be disclosed by the trial balance.

Which of the above statements are correct? (a) 1 only (b) 2 and 3 only (c) 1, 2 and 3 (d) 1 and 2 only

Q37. A firm's profit for the year is shown as ₹8,00,000. It is then found that ₹50,000 spent on repairs to a second-hand machine, to bring it into working condition, had been charged to the Profit and Loss account, and that ₹20,000 of ordinary factory repairs had been added to the machinery account. The corrected profit is (a) ₹8,30,000 (b) ₹8,70,000 (c) ₹7,70,000 (d) ₹8,00,000

Q38. Which one of the following statements about Ind AS is correct? (a) They are issued directly by the IASB and adopted verbatim in India (b) They are converged with IFRS and contain carve-outs reflecting Indian conditions (c) They replaced all Accounting Standards for every entity from 1 April 2016 (d) They apply only to unlisted companies

Q39. Under AS 15, in a defined contribution plan (a) the employer bears the investment risk and an actuarial valuation is required (b) the employer guarantees a defined amount payable on exit (c) the employee bears the investment risk and the employer's obligation is limited to the contribution (d) no expense is recognised until the employee retires

Q40. Consider the following statements:

1. Under AS-1, going concern, consistency and accrual are the fundamental accounting assumptions.
2. Consistency is the only one of those three that is also commonly classified as a convention.
3. Conservatism is one of the three fundamental accounting assumptions.

Which of the above statements are correct? (a) 1 and 3 only (b) 2 and 3 only (c) 1, 2 and 3 (d) 1 and 2 only

8. Answers and Explanations

8.1 Level 1

Q	Ans	Explanation
1	a	**Generally Accepted Accounting Principles** — the common body of rules that lets an outsider rely on and compare accounts
2	c	**Business entity concept.** It is what makes capital a liability of the business towards the owner, and why drawings exist as a separate idea
3	b	**Going concern.** Because the firm will continue, the asset's cost is spread over its useful life instead of writing it down to a distress-sale value
4	d	**Dual aspect** — every transaction has two equal and opposite aspects, which is `A = L + C` and therefore double entry
5	a	The price **actually paid**, including costs of bringing the asset into use. (b) and (c) are the values the cost concept deliberately refuses
6	b	**Money measurement**, which is why staff morale and a strong brand never appear in the accounts
7	d	**Conservatism** — the lower of cost and NRV never overstates the asset or the profit
8	c	**Materiality.** Note that it *permits* omission; it does not conflict with full disclosure, it defines how far disclosure must reach
9	a	**1977.** Do not confuse it with **1949**, the year of the Chartered Accountants Act under which ICAI itself exists
10	b	**Section 133.** The ASB recommends; the Central Government prescribes under s.133 in consultation with NFRA
11	c	**Section 132.** Sections 132 and 133 are adjacent and are a standard trap pair — 132 is the authority, 133 is the standards
12	d	**Converged with IFRS**, not identical to it and not issued by the IASB
13	a	**AS 2 Valuation of Inventories** — cost or net realisable value, whichever is lower
14	b	**AS 15 Employee Benefits** — the standard covering provident fund and gratuity, and the one closest to your future job

Q	Ans	Explanation
15	c	The **Balance Sheet**, as an asset. Revenue expenditure goes to the Trading or Profit and Loss account

8.2 Level 2

Q	Ans	Explanation
16	d	When **ownership passes** — the realisation concept. Not on receipt of an order, and not on receipt of cash
17	b	Recorded in the period it **relates to**. Ignoring it until paid is the cash basis
18	a	**Mandatory** for companies. The trap is that the cash basis sounds like a permissible simpler default
19	c	**Matching.** Costs must sit in the same period as the revenues they produced, which forces every year-end adjustment
20	d	Uniform application, with any change **and its effect disclosed**. (a) overstates the convention — change is allowed, concealment is not
21	b	**Conservatism.** Consistency is both a convention and an assumption; accrual and going concern are assumptions, not conventions
22	a	They are **presumed followed**, and disclosure is needed **only** when one is not. The obligation is asymmetric — silence means compliance
23	d	**Capital.** Installation wages are part of the cost of bringing the asset into use, not a running cost
24	c	**Revenue.** Carriage on *goods* is consumed this period; carriage on *machinery* would be capital. One word decides it
25	b	**Capital** — necessary to bring the machine into working condition. Contrast ordinary repairs to a machine already in use, which are revenue
26	a	**Deferred revenue expenditure** — revenue in nature, benefit over several years, written off across them
27	d	A **capital receipt**: it reduces an asset and does not arise from normal trading
28	c	**Capitalised** as part of the asset's cost, per AS 16. Interest **after** it is put to use is revenue
29	a	**Both understated.** Expenses are too high so profit is too low, and no asset was recorded so assets are too low. Both halves of the row move together
30	b	**Prudence overriding accrual.** Accrual would book the earned interest; prudence refuses because collection is doubtful

8.3 Level 3

Q	Ans	Explanation
31	c	Conservatism means **do not overstate** — it does **not** require understating profit as far as possible, which would create secret reserves and defeat full disclosure. The other three are correct
32	d	**1 and 3 only.** Statement 2 is wrong: the ASB **formulates**, the **Central Government** makes standards binding under s.133. That division of labour is the whole point of §1.3
33	a	**A-3** going concern gives depreciation; **B-1** entity makes capital a liability; **C-2** conservatism gives lower of cost and NRV; **D-4** matching forces outstanding expenses
34	b	**1 and 2 only.** Statement 3 is false and self-contradictory — deferred revenue expenditure creates **no saleable asset**, which is exactly why it is revenue in nature rather than capital
35	c	Replacing a worn part with a **similar** part merely restores original capacity, so it is **revenue**. Only a **superior** replacement that raises earning capacity would be capital
36	d	**1 and 2 only.** Statement 3 is the false rider: an error of principle leaves a balanced entry, so the trial balance **agrees** and cannot disclose it. Note this is the same trap shape as F6.1 Q32
37	a	Two corrections pulling in **opposite** directions, which is the point of the question. The ₹50,000 was **capital** wrongly charged to the P&L, so profit was understated — **add it back**. The ₹20,000 was **revenue** wrongly capitalised, so profit was overstated — **subtract it**. 8,00,000 + 50,000 - 20,000 = **₹8,30,000**. Option (b) adds both, (c) subtracts both
38	b	**Converged with carve-outs.** (a) states adoption, (c) overstates the transition — Ind AS applied in **phases** and AS still governs entities outside them — and (d) inverts the applicability
39	c	In a **defined contribution** plan the employer's obligation ends with the contribution and the **employee** bears investment risk. (a) and (b) describe a **defined benefit** plan such as gratuity
40	d	**1 and 2 only.** Statement 3 is wrong — conservatism is a **convention**, not one of the three assumptions. Consistency is the single item that is both

MEMORY TECHNIQUE · THE TWO-DIRECTION CORRECTION, AS IN Q37

Whenever a question gives you a stated profit and a list of misclassifications, do not try to hold the signs in your head. Write two columns.

Misclassification	What it did to profit	Correction
Capital wrongly charged to P&L	Understated	**Add back**
Revenue wrongly capitalised	Overstated	**Subtract**

Then sum. The examiner's distractors are almost always "added both" and "subtracted both", so getting the two directions independently right is the entire question.

THINK LIKE UPSC · THE THREE RECURRING SHAPES IN THIS CHAPTER

1. **The false rider.** Q32, Q34, Q36 and Q40 all give you two true statements and one false one. The false statement is almost always the one that (i) claims the trial balance discloses an error of principle, (ii) claims the ASB makes standards binding, or (iii) misclassifies conservatism as an assumption. Learn those three lies and this question type collapses
2. **The one-word pair.** Q24, Q25 and Q35 all turn on a single discriminating word — *goods* versus *machinery*, *second-hand* versus *in use*, *similar* versus *superior*. Underline it first
3. **The overstated convention.** Q20 and Q31 both offer an option that pushes a convention to an absolute — consistency as "never change", conservatism as "understate as far as possible". A convention taken to an extreme is a wrong option

9. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F6.2 — READ BEFORE EVERY ACCOUNTING SESSION

GAAP Generally Accepted Accounting Principles. **Concept** = assumed · **Convention** = customary · **Standard** = prescribed

WHO WRITES THE RULES ICAI statutory under the **Chartered Accountants Act 1949** · **ASB** constituted by ICAI **1977**, formulates and recommends · **Central Government prescribes under s.133** Companies Act 2013 · **NFRA under s.132**, constituted 2018 · IFRS issued by the **IASB**

CONCEPTS AND WHAT THEY CAUSE entity » capital is a liability · money measurement » only monetary items · **going concern » depreciation** · cost » purchase price not market value · **dual aspect » double entry**

TIMING CONCEPTS accounting period 1 Apr–31 Mar · **realisation** » revenue when **ownership passes**, not on cash · **accrual** » period it relates to, **mandatory for companies** · **matching** » forces closing stock, outstanding and prepaid, depreciation · objectivity » documentary evidence

FOUR CONVENTIONS consistency · full disclosure · materiality (**relative**, permits omission) · **conservatism** = anticipate no profit, provide for all losses » stock at **lower of cost and NRV**, provision for doubtful debts. Limit: no **secret reserves**

AS-1 THREE FUNDAMENTAL ASSUMPTIONS GO-CON-AC = **Going concern · Consistency · Accrual** · presumed followed · **disclose only if NOT followed** · **consistency** is the only one that is also a convention · conservatism is **not** an assumption

CAPITAL vs REVENUE capital = benefit beyond the year, non-recurring, acquires or improves » **Balance Sheet** · revenue = within the year, recurring, maintains » **P&L** · five tests: nature, duration, purpose, frequency, effect on earning capacity

THE ONE-WORD PAIRS carriage on **machinery** capital / on **goods** revenue · repairs to make second-hand **usable** capital / to a machine **in use** revenue · **similar** part revenue / **superior** part capital · interest **before** use capitalised / **after** revenue · legal fees on **purchase or defending title** capital / **recovering a debt** revenue

DEFERRED REVENUE revenue in nature, multi-year benefit, **no saleable asset** · heavy launch advertising, preliminary expenses, discount on debentures · unwritten portion on the **asset side**

CAPITAL RECEIPTS capital introduced, loan raised, **sale of a fixed asset**, share premium

ERROR OF PRINCIPLE EFFECTS capital treated as revenue » profit **and** assets **understated** · revenue treated as capital » both **overstated** · **trial balance agrees either way**

IND AS converged with IFRS, **not adopted**, has **carve-outs** · Companies (Ind AS) Rules **2015** · phased from **1 Apr 2016**, first threshold net worth **₹500 crore**

STANDARDS TO KNOW AS 1 policies · **AS 2 inventories, lower of cost and NRV** · AS 3 cash flow · AS 9 revenue recognition · AS 10 PPE (absorbed the withdrawn **AS 6 depreciation**) · **AS 15 employee benefits** · AS 16 borrowing costs · AS 26 intangibles · AS 29 provisions

AS 15 defined **contribution** = fixed contribution, **employee** bears risk, e.g. **provident fund** · defined **benefit** = defined amount on exit, **employer** bears risk, **actuarial valuation**, e.g. **gratuity**

10. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F6.2 — PUT THIS WHERE YOU CAN SEE IT

GO-CON-AC = the AS-1 three: Going concern · Consistency · Accrual. Disclose **only if not** followed

CONSISTENCY IS THE OVERLAP — the only convention that is also an assumption. **Conservatism is NOT** an assumption

ASB RECOMMENDS · GOVERNMENT PRESCRIBES (s.133) · NFRA IS s.132

1949 CA Act · 1977 ASB · 2015 Ind AS Rules · 2016 Ind AS applies · ₹500 cr first threshold

CONVERGED, NOT ADOPTED — Ind AS have carve-outs

GOING CONCERN » DEPRECIATION · DUAL ASPECT » DOUBLE ENTRY · ENTITY » CAPITAL IS A LIABILITY

REALISATION = ownership passes, not cash · **ACCRUAL** mandatory for companies · **MATCHING** forces every year-end adjustment

CONSERVATISM = anticipate no profit, provide for all losses · stock at **lower of cost and NRV** · limit = no secret reserves

MATERIALITY IS RELATIVE — your significant-figures instinct · **PRUDENCE IS A FACTOR OF SAFETY** — asymmetric consequences

PRUDENCE BEATS ACCRUAL when collection is doubtful — the IRAC norms on NPA interest

CAPITAL = BEYOND THE YEAR, ACQUIRES OR IMPROVES » BALANCE SHEET REVENUE = WITHIN THE YEAR, MAINTAINS » P&L

FIVE ONE-WORD PAIRS machinery/goods · usable/in use · superior/similar · before/after use · title/debt

DEFERRED REVENUE = NO SALEABLE ASSET but multi-year benefit

MISCLASSIFY: BOTH MOVE TOGETHER capital as revenue » profit and assets **understated** · revenue as capital » both **overstated** · **trial balance agrees either way**

AS 15 FOR YOUR JOB PF = defined **contribution**, employee bears risk · gratuity = defined **benefit**, employer bears risk, actuarial valuation

ONE LINE FOR THE INTERVIEW Accounting standards exist because concepts alone leave too much discretion: going concern tells you to depreciate, but only AS 10 tells you how — and it is that narrowing of discretion, not the concepts themselves, that makes one firm's accounts comparable with another's.

ACTION · NEXT IN THE FOUNDATION TRACK

Chapter F6.3 — Final Accounts: Trading Account, Profit and Loss Account, Balance Sheet, and Provisions and Reserves. It is where the matching concept from §3.4 and the prudence convention from §4.4 become actual entries: closing stock, outstanding and prepaid items, depreciation, provision for doubtful debts, and the provision-versus-reserve distinction the Blueprint names as high-yield.

Before you move on, state without looking: the three AS-1 assumptions and when they must be disclosed; which single item is both a convention and an assumption; the five one-word pairs from §5.4; and what happens to profit, assets and the trial balance when revenue expenditure is treated as capital.